FINANCIAL DILIGENCE SUPPORT - RECORD 001

Helioscope Robotics, Inc. - diligence file reference FINANCE_SUPPORT-001

1. Scope, periods reviewed and basis of the engagement

This file forms part of a buy-side quality-of-earnings review of Helioscope Robotics, Inc. and states its own scope before any figure is presented. As matters stand,, management represented that the spares pool is fully counted, although the count sheets provided cover only part of the pool. Per the index,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records.

On reperformance,, management represented that all engagement letters for adviser fees exist, but two invoices remain unsupported after two requests. In this stream,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement. In the file,, management represented that the retention-contingent portion of the deferred consideration is genuinely contingent, and the retention agreements have only partly been provided. On the record, a further contract, HC-2139 with Umberland Freight, signed 2026-03-13 for 24 months and carrying contracted hardware of $618,200, annual subscription value of $342,700 and a deployment fee of $92,000. On the substance,, a retrofit contract where existing customer equipment is integrated, so the hardware element is smaller and the services element larger than the population average. No amendments; the contract includes a customer-favourable acceptance test that delayed transfer by five weeks. For Umberland Freight, a second preparer reperformed the arithmetic and reached the same figure to the dollar. Under Umberland Freight, no further procedures were considered necessary once the source document had been inspected.

Taken alone,, sampling was stratified by value with full coverage above a stated threshold and a haphazard selection below it, and the threshold is disclosed in the relevant schedule. On reperformance,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent. On the documents,, recurrence is judged on evidence about the future obligation rather than on whether the cost is unusual, which is why several items management called one-time were rejected. On a second read, Crestline Fulfillment contracted under HC-2052 on 2024-06-27. On the balance,, four sites are contracted on a rolling schedule with hardware transferring site by site, a fleet subscription that steps up as each site goes live, and a deployment services obligation invoiced at milestones. Two amendments: an October 2024 change deferred the third site by two quarters, and a January 2026 change converted twelve leased units to purchased units. Commercially Crestline Fulfillment carries contracted hardware of $3,268,900, annual subscription value of $1,486,200 and a deployment fee of $428,000 over 48 months. For Crestline Fulfillment, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment. Under Crestline Fulfillment, a small residual difference remains and is reported rather than described as immaterial and omitted.

On the balance,, every schedule ties from a named source system extract to the reported figure through individually identified differences. On inspection,, adjustments are presented gross with their direction stated, rather than netted, so that a reader can rebuild the measure from reported results. Against the ledger,, legal accruals rest on counsel's written estimates rather than on invoices, and the reviewer has not independently assessed the likely outcome of any matter. HC-2150 (Westbourne Grocery) runs 18 months from 2026-05-19. Per the workpaper,, a short-term contract taken to test a smaller-format cell, with hardware, subscription and a minimal onboarding element. Under Westbourne Grocery, the explanation offered was plausible and was still corroborated against a document before being accepted. Westbourne Grocery carries contracted hardware of $384,500, annual subscription value of $212,400 and a deployment fee of $54,000 across the contracted term. No amendments; the customer has an option to convert to a thirty-six month term at a stated price. The conversion option was tested and found not to be priced at a discount, so no material right arises.

2. How the reported figures are assembled and where the process is weak

The reported figures are the output of a monthly close process with identifiable weaknesses, and this section describes that process rather than assuming it operates. In the event,, reconciliation differences are reported at the amount found, including small residuals, rather than being described as immaterial and omitted. As to the facts,, management

represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed.

On inspection,, journal approval operates through a workflow field that can be left blank, and the reviewer found it blank on entries with a material aggregate value. By reference,, management represented that the second customer summit is discretionary; the reviewer inspected a signed venue contract dated before the cut-off. On this point,, each adjustment records who proposed it, because an item put forward by management and an item found in diligence carry different evidential weight. On this point, also flagged is JE-24-0871, posted 2024-09-30 by R. Calloway approved by R. Calloway, for $96,400 and classified as a self-approved entry. Read narrowly,, the preparer and approver are the same person on a quarter-end deferred revenue release. Segregation of duties was restored in the November 2024 workflow change; the entry itself agreed to the billing extract. On this self-approved entry, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule.

On testing,, management represented that intercompany settlement with the Ontario entity is unrestricted, while the settlement history shows a consistent six-week lag. In detail,, management represented that all engagement letters for adviser fees exist, but two invoices remain unsupported after two requests. On the source,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months. As to the facts, a unapproved manual entry of $148,600 appears as JE-24-0418 on 2024-03-31. In detail,, a revenue reclassification posted on the last day of the quarter carries no approver in the workflow log. For this unapproved manual entry, the supporting document was produced after two requests and its late arrival is noted in the register. For this unapproved manual entry the preparer was R. Calloway, with no approver recorded. On this unapproved manual entry, the item was selected for testing because of its characteristics rather than its size.

On the merits,, management represented that the capitalized configuration work created a lasting integration component; the ticket detail supports this for part of the amount only. On the evidence,, related-party balances were identified from the ledger and from management inquiry; no independent search for undisclosed related parties was performed. On the evidence,, adjustments are presented gross with their direction stated, rather than netted, so that a reader can rebuild the measure from reported results. JE-25-0388 is a unapproved manual entry of $18,460 posted on 2025-04-04. On testing,, penalty interest on the equipment facility was reclassified from interest expense to other expense without approval. On this unapproved manual entry, the item is cross-referenced to the corresponding entry in the information request register. This unapproved manual entry was prepared by R. Calloway and with no approver recorded. The reclassification has no effect on the earnings measure; the missing approval is reported as a control observation.

Schedule 1.1 - Trial balance to management report tie-out

Account	Description	Statutory ledger ($)	Management report ($)	Difference ($)	Reason
4010	Subscription revenue	4,652,336	4,655,083	2,747	Cut-off entry posted after the extract
4020	Hardware revenue	213,685	216,727	3,042	Timing of the July mapping change
4030	Deployment services revenue	2,512,865	2,514,977	2,112	Rounding in the reporting pack
4040	Training and onboarding revenue	1,003,078	1,007,486	4,408	Timing of the July mapping change
4050	Analytics module revenue	2,501,072	2,497,193	(3,879)	Agrees without difference
4090	Service credits	862,154	866,080	3,926	Memo adjustment posted in the management ledger
5010	Chassis and drive assemblies	4,602,177	4,605,865	3,688	Cut-off entry posted after the extract
5020	Sensor and vision modules	4,591,870	4,591,078	(792)	Rounding in the reporting pack
5030	Scrap and yield loss	1,809,514	1,814,041	4,527	Rounding in the reporting pack
5040	Rework and refurbishment	1,013,772	1,014,696	924	Rounding in the reporting pack
5110	Hosting compute	4,780,664	4,776,277	(4,387)	Rounding in the reporting pack
5120	Storage and retention	4,250,726	4,252,668	1,942	Agrees without difference

Account	Description	Statutory ledger ($)	Management report ($)	Difference ($)	Reason
5130	Data egress	4,518,820	4,520,441	1,621	Agrees without difference
5210	Deployment crew wages	2,141,361	2,144,093	2,732	Timing of the July mapping change
5220	Travel and per diem	1,850,708	1,853,069	2,361	Timing of the July mapping change
5230	Subcontracted installation	4,525,262	4,527,600	2,338	Agrees without difference
5310	Warranty parts	337,431	341,538	4,107	Timing of the July mapping change
5320	Spares carrying cost	1,199,849	1,201,257	1,408	Timing of the July mapping change
5410	Inbound freight	2,058,784	2,054,033	(4,751)	Timing of the July mapping change
5420	Outbound freight	3,908,478	3,913,082	4,604	Memo adjustment posted in the management ledger
5430	Customs duty and brokerage	1,840,605	1,838,290	(2,315)	Agrees without difference
6110	Engineering salaries	4,232,687	4,236,611	3,924	Allocation applied only in management reporting
6120	Capitalized development	4,351,836	4,351,786	(50)	Timing of the July mapping change
6210	Sales salaries	3,553,285	3,551,404	(1,881)	Allocation applied only in management reporting
6220	Sales commissions	1,728,092	1,729,305	1,213	Management reclassification reversed
6230	Marketing and events	1,293,614	1,296,129	2,515	Timing of the July mapping change
6310	General and administrative	295,429	295,044	(385)	Timing of the July mapping change
6320	Professional fees	3,073,414	3,072,405	(1,009)	Allocation applied only in management reporting
6330	Insurance	3,438,989	3,438,485	(504)	Agrees without difference
6410	Vehicle costs	197,886	196,151	(1,735)	Timing of the July mapping change
6455	Club and membership dues	1,374,326	1,378,597	4,271	Rounding in the reporting pack
6510	Occupancy - Fremont	4,763,411	4,765,706	2,295	Management reclassification reversed
6520	Occupancy - sublease	2,549,500	2,548,443	(1,057)	Allocation applied only in management reporting
6610	Share-based compensation	2,604,835	2,606,700	1,865	Memo adjustment posted in the management ledger
6710	Depreciation - tooling	1,535,560	1,531,541	(4,019)	Allocation applied only in management reporting
6720	Depreciation - fleet	2,067,266	2,069,472	2,206	Allocation applied only in management reporting
7010	Interest expense	4,667,763	4,670,477	2,714	Cut-off entry posted after the extract
7020	Other income - grants	4,297,572	4,295,158	(2,414)	Management reclassification reversed
7030	Foreign exchange	787,071	789,077	2,006	Agrees without difference
7040	Research credits	1,318,618	1,314,002	(4,616)	Memo adjustment posted in the management ledger

3. Contract structure, obligations identified and allocation basis

Under FASB ASC Topic 606 the hardware, subscription and deployment elements can be separate obligations, and the reviewer tested that conclusion contract by contract. In detail,, the chart of accounts was re-mapped in July 2025, and every trend presented here uses the later mapping applied retrospectively so that period comparisons are on a consistent basis. In detail,, pro forma items are separated from normalizations so that a reader can adopt one class without accepting the other.

HC-2063 (Evergreen Warehousing) runs 36 months from 2024-09-05. As matters stand,, two distribution centres take hardware on acceptance, share a single subscription measured by active units, and buy an onboarding package that includes operator training. Under Evergreen Warehousing, the reviewer notes that management agreed the facts while reserving its position on the treatment. Evergreen Warehousing carries contracted hardware of $2,104,300, annual subscription value of $1,128,400 and a deployment fee of $268,500 across the contracted term. A July 2025 amendment reduced the unit count by four following a layout change and issued a partial credit against the deployment fee. For Evergreen Warehousing, a small residual difference remains and is reported rather than described as immaterial and omitted. HC-2104 (Oakhurst Parts Group) runs 30 months from 2025-08-29. On any view,, hardware transfers on delivery with installation by the customer's own contractor, so the deployment obligation is limited to remote commissioning support. Under Oakhurst Parts Group, the evidence was inspected in original form rather than as a management-prepared summary. Oakhurst Parts Group carries contracted hardware of $1,142,800, annual subscription value of $596,400 and a deployment fee of $158,500 across the contracted term. A June 2026 amendment brought installation back in scope for a second site at a separately negotiated fee. Because installation is performed by the customer, hardware transfer is earlier than in comparable contracts; the earlier transfer date was verified to the delivery receipt. On the balance, Ashcombe Beverage Distribution contracted under HC-2168 on 2024-10-30. By agreement,, hardware and subscription with a deployment obligation performed partly by the customer's engineering team under supervision. On Ashcombe Beverage Distribution, the item was selected for testing because of its characteristics rather than its size. Commercially Ashcombe Beverage Distribution carries contracted hardware of $1,324,600, annual subscription value of $682,900 and a deployment fee of $178,000 over 36 months. The refund was recorded as a reduction of revenue in the month of payment rather than in the periods the fee had been recognized. Under Ashcombe Beverage Distribution, the reviewer declined to net this item against another with an opposite direction in the same period.

From the extract, Yarrow Distribution Partners contracted under HC-2156 on 2026-06-04. As matters stand,, signed within the final month of the review period, with no revenue recognized by the cut-off and a deployment fee invoiced in advance. On Yarrow Distribution Partners, the item is cross-referenced to the corresponding entry in the information request register. Commercially Yarrow Distribution Partners carries contracted hardware of $1,582,300, annual subscription value of $786,200 and a deployment fee of $214,500 over 36 months. For Yarrow Distribution Partners, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. Under Yarrow Distribution Partners, no projection was made from this item because it arises from a single identifiable event. HC-2074 (Granite Peak Distribution) runs 36 months from 2025-01-16. On the source,, across Granite Peak Distribution, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. Three phases of hardware with separate acceptance, a subscription priced per active unit, and a deployment obligation including layout simulation delivered before installation. Under Granite Peak Distribution, the reviewer recorded that no comparable item was found in the two earlier periods examined. Granite Peak Distribution carries contracted hardware of $2,746,100, annual subscription value of $1,312,700 and a deployment fee of $386,000 across the contracted term. An August 2025 amendment added a service level commitment with credits, and a May 2026 amendment accelerated phase three. For Granite Peak Distribution, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. HC-2081 (Harborline Systems) runs 18 months from 2025-03-08. On a second read,, a proof-of-concept converted to a production contract, with the original pilot fee credited against the first production invoice. Under Harborline Systems, the conclusion rests on a document produced by a third party rather than by the company. Harborline Systems carries contracted hardware of $486,900, annual subscription value of $264,000 and a deployment fee of $74,500 across the contracted term. The conversion in November 2025 was documented as a new contract rather than a modification, which changes how the credited pilot fee is treated. Pilot fees were recognized on invoice eleven weeks before the service window began, which the reviewer adjusted.

At the cut-off, Pinecrest Retail Services contracted under HC-2109 on 2025-09-17. On the documents,, three obligations plus an option for additional units at a discount that testing evaluated as a potential material right. The option was partially exercised in April 2026 for nine units at the discounted price. Commercially Pinecrest Retail Services carries contracted hardware of $1,684,500, annual subscription value of $824,200 and a deployment fee of $232,000 over 36 months. The discount was assessed as a material right; management allocated no consideration to it, and the reviewer left this as an open judgment. Under Pinecrest Retail Services, the item is retained in the file even though it does not change the conclusion, so the trail remains complete. HC-2133 (Thornbury Wholesale) runs 30 months from 2026-02-20. In substance,, across Thornbury Wholesale, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly. Hardware, subscription and a training obligation delivered in three sessions across the first quarter of service. Under Thornbury Wholesale, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. Thornbury Wholesale carries contracted hardware of $886,400, annual subscription value of $458,900 and a deployment fee of $118,500 across the contracted term. A May 2026 amendment added a fourth training session and a small fee increase. For Thornbury Wholesale, a second preparer reperformed the arithmetic and reached the same figure to the dollar. On testing, Zephyr Retail Logistics contracted under HC-2162 on 2025-06-12. On the merits,, four obligations including a hosted analytics module sold as an add-on with its own renewal cycle. A December 2025 amendment moved the analytics module onto the master subscription term, aligning the renewal dates. Commercially Zephyr Retail Logistics carries contracted hardware of $2,064,800, annual subscription value of $998,400 and a deployment fee of $286,000 over 42 months. For Zephyr Retail Logistics, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. Under Zephyr Retail Logistics, the file records the question asked, the answer given and the document that settled it.

Schedule 1.2 - Contract register with commercial terms

Contract	Customer	Signed	Term (months)	Hardware ($)	Subscription ARR ($)	Deployment fee ($)
HC-2041	Asterion Logistics	2024-02-14	36	1,842,600	964,800	214,000
HC-2047	Blue Mesa Components	2024-04-02	24	612,400	348,000	86,500
HC-2052	Crestline Fulfillment	2024-06-27	48	3,268,900	1,486,200	428,000
HC-2063	Evergreen Warehousing	2024-09-05	36	2,104,300	1,128,400	268,500
HC-2069	Fathom Mobility	2024-11-21	30	918,500	486,000	124,000
HC-2074	Granite Peak Distribution	2025-01-16	36	2,746,100	1,312,700	386,000
HC-2086	Kadence Industrial Holdings	2025-04-24	60	4,128,700	2,046,500	612,000
HC-2098	Northfield Grocers	2025-07-11	24	764,300	412,600	108,000
HC-2104	Oakhurst Parts Group	2025-08-29	30	1,142,800	596,400	158,500
HC-2109	Pinecrest Retail Services	2025-09-17	36	1,684,500	824,200	232,000
HC-2115	Quarrybrook Fulfilment	2025-10-02	24	542,600	296,800	68,000
HC-2121	Redbank Distribution	2025-11-14	48	2,398,400	1,186,500	342,500
HC-2127	Saltmarsh Logistics	2026-01-09	36	1,246,900	668,400	174,000
HC-2139	Umberland Freight	2026-03-13	24	618,200	342,700	92,000
HC-2150	Westbourne Grocery	2026-05-19	18	384,500	212,400	54,000
HC-2156	Yarrow Distribution Partners	2026-06-04	36	1,582,300	786,200	214,500
HC-2162	Zephyr Retail Logistics	2025-06-12	42	2,064,800	998,400	286,000
HC-2173	Brackenridge Supply	2025-02-06	30	1,046,700	548,300	142,500

4. Management's proposed adjustments

Items proposed by the seller carry a different evidential weight from items found in diligence, and the schedule records which is which for every line. On the documents,, management represented that intercompany settlement with the Ontario entity is unrestricted, while the settlement history shows a consistent six-week lag. On the balance,, because no audited financial statements exist for any period in scope, every opening balance rests on management's own records and on the review engagement's limited procedures.

On the papers, the record contains ADJ-28, Supplier recovery on the harness defect, which deducts $88,500 against FY2025 on a non-recurring basis. Read narrowly,, the supplier settled part of the rework campaign cost, and the recovery was credited to cost of sales in the same year the scrap arose. Support consists of the supplier settlement letter and the credit applied against open payables, and the item was put forward by diligence. Supplier recovery on the was accepted at $88,500: the reviewer paired the recovery with the scrap add-back so the campaign is presented on a net basis rather than only in the direction that helps. On Supplier recovery on the, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. On the documents, the reviewer traced ADJ-20, Unfunded paid time off accrual movement, which deducts $84,300 against LTM Jun-2026 on a normalization basis. As matters stand,, the PTO liability grew as headcount rose without a corresponding expense charge because the accrual was maintained on a cash-settlement basis. Support consists of the PTO liability rollforward and the human resources balance report, and the item was put forward by diligence. Unfunded paid time off was accepted at $84,300: the liability rollforward isolates the movement and management agreed the accrual policy understated the period charge. On Unfunded paid time off, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. Taken alone, the tie-out includes ADJ-25, Insurance premium refund on the cancelled cargo policy, which deducts $31,200 against FY2024 on a non-recurring basis. On testing,, a cargo policy cancelled mid-term generated a premium refund credited to insurance expense, reducing reported cost in a period where coverage continued under a replacement policy. Support consists of the broker credit advice and the policy cancellation endorsement, and the item was put forward by diligence. Insurance premium refund on was accepted at $31,200 and the reason sits on the schedule itself. On Insurance premium refund on, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given.

ADJ-22 concerns contractor conversion cost differential and was raised by management as a run-rate item. On the balance,, eleven field technicians converted from agency contracts to direct employment in February 2026, and management annualizes the resulting rate saving. On Contractor conversion cost differential, the evidence was inspected in original form rather than as a management-prepared summary. Contractor conversion cost differential is recorded as a deduction of $138,900 in Q1-2026, evidenced by offer letters for eleven converted contractors and the contractor billing history. Contractor conversion cost differential was reduced at $92,400 and the reason sits on the schedule itself. At the cut-off, diligence proposed ADJ-15 at $71,640 for FY2025, described as unrecorded liability for the september 2025 spares purchase. On the papers,, spares received in the last week of September 2025 were not accrued and the invoice posted in October, moving cost out of the period in which the parts were consumed. Unrecorded liability for the was accepted at $71,640: the goods receipt note establishes the service period and the vendor statement confirms the amount. Unrecorded liability for the carries a recurrence judgment of normalization, and the supporting file is the vendor statement reconciliation and the goods receipt note. On Unrecorded liability for the, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. Read narrowly, testing covered ADJ-23, Duplicate software subscriptions during the tooling consolidation, which adds back $57,450 against FY2025 on a non-recurring basis. On testing,, two observability platforms ran in parallel for five months while the engineering team consolidated tooling, and the superseded contract was cancelled in October 2025. Support consists of vendor invoices for two overlapping licence terms and the cancellation confirmations, and the item was put forward by management. Duplicate software subscriptions during was accepted at $57,450: the cancellation confirmations establish that the duplicated cost has ended and the overlap window is documented. On Duplicate software subscriptions during, the reviewer recorded that no comparable item was found in the two earlier periods examined.

Against the ledger, the schedule carries ADJ-11, Founder salary normalization to market, which deducts $145,000 against LTM Jun-2026 on a pro forma basis. Read narrowly,, management proposes to hold founder compensation at its current below-market level on the argument that the founders will not renegotiate. Support consists of a compensation

benchmark memorandum prepared by management's advisers, and the item was put forward by management. Founder salary normalization to was rejected outright and the reason sits on the schedule itself. On Founder salary normalization to, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. ADJ-04 concerns owner's vehicle and club dues and was raised by management as a normalization item. As to the facts,, personal expenses run through the company are removed to present the cost structure a buyer would inherit. On Owner's vehicle and club, the reviewer confirmed the amount does not also sit within the working capital peg. Owner's vehicle and club is recorded as a add-back of $34,720 in FY2025, evidenced by general ledger detail for accounts 6410 and 6455 with supporting statements. Owner's vehicle and club was reduced at $22,180: part of the vehicle charge covers a service van used by the field team, which stays in reported cost. ADJ-36 concerns unrecorded credit balance owed to evergreen warehousing and was raised by diligence as a normalization item. Per the register,, an overpayment received in March 2026 was recorded as revenue against an open invoice that had already been settled, so the amount is a liability to the customer rather than earnings. On Unrecorded credit balance owed, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. Unrecorded credit balance owed is recorded as a deduction of $53,400 in LTM Jun-2026, evidenced by the customer statement, the unapplied cash report and the account reconciliation. Unrecorded credit balance owed was accepted at $53,400: the unapplied cash report and the customer statement agree, and management issued the credit memorandum in July 2026.

Schedule 1.3 - Cost of delivery by line across three periods

Bucket	Cost line	FY2024 ($)	FY2025 ($)	LTM Jun-2026 ($)	Run-rate view	Driver
Hosting	Fleet telemetry compute	684,300	1,142,800	1,386,400	Run-rate	Compute cost scales with active units and with telemetry reten
Hosting	Object storage and retention	148,600	236,400	312,800	Run-rate	Retention was extended from ninety days to one year in mid-202
Hosting	Data egress and interconnect	62,400	118,900	96,700	Run-rate	Egress fell after the 2026 hosting renegotiation moved traffic
Field support	Deployment crew wages	1,284,600	1,846,200	2,142,900	Run-rate	Crew headcount grew from eleven to nineteen as site volume inc
Field support	Travel and per diem	386,400	512,800	468,300	Run-rate	Travel cost per site fell as regional crews replaced fly-in te
Field support	Subcontracted installation	214,800	468,900	386,200	Mixed	Subcontractors absorb peak installation demand and the mix bet
Field support	Remote operations coverage	168,200	296,400	384,600	Run-rate	Overnight remote operations cover was introduced in 2025 for c
Spares and warranty	Warranty parts consumption	246,800	418,600	462,400	Run-rate	Consumption tracks installed base and the failure rate of the
Spares and warranty	Rework campaign labour	0	142,650	0	One-time	The wrist-joint harness campaign in the third quarter of 2025
Spares and warranty	Spares pool carrying cost	84,600	128,400	146,800	Run-rate	The spares pool was enlarged when the Kadence contract introdu
Freight and duty	Inbound freight on components	318,400	462,800	428,600	Run-rate	Inbound freight rates fell in 2026 after two ocean lanes were

Bucket	Cost line	FY2024 ($)	FY2025 ($)	LTM Jun-2026 ($)	Run-rate view	Driver
Freight and duty	Outbound freight to sites	268,900	386,400	411,860	Run-rate	Outbound cost follows unit volume and the geographic spread of
Freight and duty	Customs duty and brokerage	142,600	218,400	246,900	Run-rate	Duty on imported drive assemblies increased when the supplier
Hardware cost	Chassis and drive assemblies	2,468,900	3,842,600	4,186,400	Run-rate	Unit cost fell about four per cent as volumes crossed the seco
Hardware cost	Sensor and vision modules	846,200	1,268,400	1,396,800	Run-rate	A supplier change in early 2026 lowered module cost but introd
Hardware cost	Scrap and yield loss	118,400	264,800	186,200	Mixed	Scrap rose during the harness campaign and during the first pr
Hardware cost	Rework and refurbishment	96,800	218,400	142,600	Mixed	Refurbishment of returned pilot units is a recurring activity,
Launch and onboarding	Layout simulation and design	168,400	286,900	342,800	Run-rate	Simulation work is now performed for every new site and is bil
Launch and onboarding	Operator training delivery	96,200	168,800	214,600	Run-rate	Training hours per site are stable; the increase follows site
Launch and onboarding	First-site engineering support	142,800	96,400	118,600	Mixed	Engineering time spent stabilizing a customer's first site dec
Launch and onboarding	Customer-specific integration build	214,600	342,800	286,400	Run-rate	Integration work with customer warehouse management systems is
Allocated overhead	Quality and test engineering	186,400	248,600	284,900	Run-rate	Test engineering supports both production and field diagnosis
Allocated overhead	Facilities charged to production	142,800	168,400	186,200	Run-rate	The production floor share of the Fremont facility is allocate
Allocated overhead	Depreciation on production tooling	96,400	142,600	168,800	Run-rate	Tooling additions for the second-generation chassis began depr

5. Gross margin normalization

The question asked of every cost line is not whether it was unusual but whether the buyer will incur it again, which is a different and harder test. On the merits,, adjustments are presented gross with their direction stated, rather than netted, so that a reader can rebuild the measure from reported results. Against the ledger,, related-party balances were identified from the ledger and from management inquiry; no independent search for undisclosed related parties was performed.

In the file, freight and duty includes inbound freight on components, classified run-rate. On any view,, inbound freight rates fell in 2026 after two ocean lanes were consolidated with a single forwarder. For inbound freight on components the measured amounts are $318,400 in FY2024, $462,800 in FY2025 and $428,600 for the trailing twelve months to June 2026. The saving is realized rather than planned, and the trailing figure already reflects most of it. On Inbound freight on components, the conclusion would change if the missing supporting document is later produced in a

different form. On the source, on the same schedule, depreciation on production tooling within the allocated overhead bucket at $96,400 in FY2024, $142,600 in FY2025 and $168,800 for the trailing twelve months to June 2026. On inspection,, tooling additions for the second-generation chassis began depreciating in the fourth quarter of 2025. The run-rate view is run-rate. For Depreciation on production tooling, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result. On Depreciation on production tooling, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. Facilities charged to production sits in allocated overhead and moved from $142,800 to $168,400 and then to $186,200. In review,, the production floor share of the Fremont facility is allocated on square footage and did not change. On Facilities charged to production, the item was selected for testing because of its characteristics rather than its size. The Fremont rent abatement affects this line and is normalized on the adjustment schedule rather than here. The line is carried forward as run-rate.

On the documents, the margin analysis carries deployment crew wages within the field support bucket at $1,284,600 in FY2024, $1,846,200 in FY2025 and $2,142,900 for the trailing twelve months to June 2026. In detail,, crew headcount grew from eleven to nineteen as site volume increased, with two crews added in the final quarter. The run-rate view is run-rate. The part-period effect of the final two crews is annualized rather than treated as non-recurring. On Deployment crew wages, a second preparer reperformed the arithmetic and reached the same figure to the dollar. On the record, allocated overhead includes quality and test engineering, classified run-rate. By agreement,, test engineering supports both production and field diagnosis and is allocated on unit throughput. For quality and test engineering the measured amounts are $186,400 in FY2024, $248,600 in FY2025 and $284,900 for the trailing twelve months to June 2026. The allocation basis was consistent across the three periods, which the reviewer verified before using the trend. On Quality and test engineering, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. Travel and per diem sits in field support and moved from $386,400 to $512,800 and then to $468,300. Per the register,, travel cost per site fell as regional crews replaced fly-in teams for the eastern accounts. On Travel and per diem, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. The reviewer left the trailing figure in place; the regional model is established rather than a plan. The line is carried forward as run-rate.

Scrap and yield loss sits in hardware cost and moved from $118,400 to $264,800 and then to $186,200. On inspection,, scrap rose during the harness campaign and during the first production run of the second-generation chassis. On Scrap and yield loss, the file records the question asked, the answer given and the document that settled it. Baseline scrap is run-rate; the reviewer isolated only the campaign excess and left the new-product learning curve in cost. The line is carried forward as mixed. On the balance, field support includes subcontracted installation, classified mixed. On testing,, subcontractors absorb peak installation demand and the mix between own crew and subcontract varies quarter to quarter. For subcontracted installation the measured amounts are $214,800 in FY2024, $468,900 in FY2025 and $386,200 for the trailing twelve months to June 2026. No normalization is proposed because the mix is a capacity choice rather than a one-time event. On Subcontracted installation, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. On the substance, a further line, sensor and vision modules within the hardware cost bucket at $846,200 in FY2024, $1,268,400 in FY2025 and $1,396,800 for the trailing twelve months to June 2026. Per the index,, a supplier change in early 2026 lowered module cost but introduced a qualification period with dual sourcing. The run-rate view is run-rate. Dual-source cost during qualification is short-lived but was not separately identified by management, so it stays in reported cost. On Sensor and vision modules, the reviewer recorded that no comparable item was found in the two earlier periods examined.

6. Completeness testing over payables and accrued liabilities

The reviewer selected from the post-period cash and invoice population rather than from recorded accruals, which is the only way to find what is missing. On any view,, segregation between preparer and approver was not enforced until the November 2024 workflow change, and self-approved entries appear on both sides of that date. In the event,, the chart of accounts was re-mapped in July 2025, and every trend presented here uses the later mapping applied retrospectively so that period comparisons are on a consistent basis.

AP-4465 relates to Northline Customs Brokers and covers December 2025 at $21,480. On testing,, brokerage on a December import entry was recorded in January; the entry date establishes the service period. On Northline Customs Brokers, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree. For

Northline Customs Brokers in December 2025, cost belonging to the earlier period was recorded later, so the earlier period is understated. The invoice is dated 2026-01-12 and the amount posted in January 2026. AP-4522 relates to Sandhill Staffing and covers March 2026 at $46,900. On this point,, agency hours are now accrued from the timekeeping export rather than from invoices, and the March accrual agrees. On Sandhill Staffing, the reviewer confirmed that the same item does not also appear on the net debt schedule. For Sandhill Staffing in March 2026, the period recorded matches the service period and no adjustment arises. The invoice is dated 2026-04-09 and the amount posted in March 2026. AP-4288 relates to Sandhill Staffing and covers September 2025 at $34,720. On any view,, agency technician hours for the final week of September were invoiced late and no accrual was raised. On Sandhill Staffing, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. For Sandhill Staffing in September 2025, cost belonging to the earlier period was recorded later, so the earlier period is understated. The invoice is dated 2025-10-14 and the amount posted in October 2025.

AP-4721 relates to Sandhill Staffing and covers June 2026 at $22,180. By agreement,, two technicians' final week was invoiced after the cut-off and not accrued, which is the same pattern seen in September 2025. On Sandhill Staffing, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. For Sandhill Staffing in June 2026, cost belonging to the earlier period was recorded later, so the earlier period is understated. The invoice is dated 2026-07-08 and the amount posted in July 2026. In review, for Ashgrove Facilities the reviewer tested AP-4371 at $12,840, posted in September 2025. In detail,, cleaning and facilities charges are recurring and were accrued from the standing service schedule. The service period is September 2025 against an invoice dated 2025-10-03. For Ashgrove Facilities in September 2025, the period recorded matches the service period and no adjustment arises. On Ashgrove Facilities, the item is presented gross so that a reader can rebuild the measure from reported results. AP-4182 relates to Wetherby Freight Services and covers September 2025 at $42,860. Per the index,, carriage performed in September was recorded in October because the accrual was raised from invoices rather than from shipping manifests. On Wetherby Freight Services, the explanation offered was plausible and was still corroborated against a document before being accepted. For Wetherby Freight Services in September 2025, cost belonging to the earlier period was recorded later, so the earlier period is understated. The invoice is dated 2025-10-06 and the amount posted in October 2025.

Per the register, for Corvid Metalworks the reviewer tested AP-4207 at $71,640, posted in October 2025. On this point,, spares received on 2025-09-26 were not accrued; the goods receipt note fixes the service period inside September. The service period is September 2025 against an invoice dated 2025-10-02. For Corvid Metalworks in September 2025, cost belonging to the earlier period was recorded later, so the earlier period is understated. On Corvid Metalworks, the item was projected across the population on the basis stated in the accompanying schedule. In detail, for Brightline Cloud the reviewer tested AP-4261 at $96,400, posted in September 2025. In detail,, hosting is billed monthly in arrears and the accrual matches the metered usage report for the period. The service period is September 2025 against an invoice dated 2025-10-01. For Brightline Cloud in September 2025, the period recorded matches the service period and no adjustment arises. On Brightline Cloud, the reviewer confirmed that the same item does not also appear on the net debt schedule. As to the facts, for Halloran Electrical the reviewer tested AP-4558 at $32,400, posted in April 2026. On this point,, panel work completed in March was invoiced in April and not accrued; the work order supports the earlier period. The service period is March 2026 against an invoice dated 2026-04-14. For Halloran Electrical in March 2026, cost belonging to the earlier period was recorded later, so the earlier period is understated. On Halloran Electrical, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly.

Schedule 1.4 - Information request register

Request	Description	Owner	Requested	Received	Status	Effect if unresolved
IR-014	Signed acceptance certificate for Crestline site three	Seller - deployment lead	2026-06-18	Not received	Open	Without a dated certificate the transfer month rests on the installer's
IR-019	Retention agreements underpinning the Larkspur earn-out	Seller - counsel	2026-06-18	Partially received	Open	The split between fixed deferred consideration and retention-contingent
IR-027	Billing system	Seller - controller	2026-06-19	2026-06-27	Closed	The extract was

Request	Description	Owner	Requested	Received	Status	Effect if unresolved
	extract reconciled to the general ledger					reconciled and the residual monthly differences are imma
IR-034	Board minutes evidencing the December 2024 bonus decisio	Seller - company secretary	2026-06-20	2026-07-08	Received - insufficient	The minutes record the decision but not the plan terms, so the reviewer
IR-038	Warranty claim detail by chassis generation	Seller - service manager	2026-06-23	2026-07-01	Closed	The detail supported the recalculated accrual rate and the adjustment wa
IR-041	Engagement letters for all adviser fees in the period	Seller - finance director	2026-06-23	Partially received	Open	Two invoices remain unsupported, so the split between transaction and or
IR-045	Fixed asset additions traced to underlying engineering t	Seller - engineering manager	2026-06-24	2026-07-06	Received - under review	The capitalization reclassification could change if further tickets supp
IR-052	Bank statements for the Ontario subsidiary for the full	Seller - controller	2026-06-25	Partially received	Open	Two months are missing, so cash proof coverage for the subsidiary is bel
IR-059	Hosting agreement effective 2026-04-30 with the rate car	Seller - IT director	2026-06-26	2026-06-30	Closed	The agreement supported the contractual portion of the hosting savings a
IR-063	Contractor conversion offer letters and prior agency rat	Seller - HR director	2026-06-26	2026-07-07	Received - under review	Employer tax and benefit loading on the converted population is still be
IR-078	Journal entry extract with preparer and approver fields	Seller - systems administrator	2026-06-30	2026-07-04	Closed	The extract enabled the exception testing; approver fields are blank for
IR-081	Inventory count sheets for the June 2026 physical count	Seller - operations	2026-07-01	Partially received	Open	Count coverage of the spares pool cannot be confirmed, so inventory in t
IR-085	Commission plan documents for all sales roles	Seller - sales operations	2026-07-01	2026-07-08	Closed	The plans supported the commission true-up and confirmed the accrual bas
IR-088	Analysis of the Pinecrest option pricing against list	Seller - revenue accountant	2026-07-02	Not received	Open	The material right judgment stays open, and any allocation to the option
IR-092	Lease agreements and amendments for all leased premises	Seller - counsel	2026-07-02	2026-07-09	Closed	The Fremont amendment supported the abatement normalization and the stra
IR-099	Reconciliation of the fixed asset register to the ledger	Seller - controller	2026-07-03	Not received	Open	Depreciation in the earnings measure cannot be tied to the register, whi

Request	Description	Owner	Requested	Received	Status	Effect if unresolved
IR-103	Change request pricing for the Vantage additional units	Seller - commercial	2026-07-06	Not received	Open	Variable consideration arising after the cut-off cannot be estimated, so
IR-107	Detail of the FY2026 discretionary bonus by participant	Seller - HR director	2026-07-06	Partially received	Open	The pre-closing service period allocation supporting debt-like treatment
IR-111	Support for the liquidated damages waiver on Redbank	Seller - commercial	2026-07-07	2026-07-13	Received - under review	The amendment accounting remains open, and both the accrual and the waiv
IR-115	Vendor statements for the ten largest suppliers	Seller - accounts payable	2026-07-07	Partially received	Open	Accrual completeness testing coverage falls below the planned level for

7. Journal entry testing and the disposition of each exception

Every exception carries a disposition, because an exception log without dispositions tells a reader nothing about whether the numbers are wrong. On the papers,, management represented that installation activity alone does not create a state filing obligation, relying on an adviser's opinion whose scope has not yet been compared with the states involved. On a second read,, contract amendments are stored in a shared drive without a register, so the reviewer built the amendment population from the contract files themselves.

JE-26-0163 is a pro forma entry in the ledger of $92,400 posted on 2026-02-27. In review,, a contractor conversion saving was posted into the management ledger rather than being kept as a memo adjustment. On this pro forma entry in, the reviewer confirmed that the same item does not also appear on the net debt schedule. This pro forma entry in the ledger was prepared by T. Vasquez and approved by M. Okonjo. The entry was reversed for statutory reporting; the reviewer works from the statutory ledger throughout. JE-24-1103 is a reversal of a prior accrual of $74,900 posted on 2024-12-31. On any view,, the FY2024 bonus accrual was reversed in full on the last day of the year following a board decision recorded only in an email. On this reversal of a prior, the conclusion would change if the missing supporting document is later produced in a different form. This reversal of a prior accrual was prepared by T. Vasquez and approved by M. Okonjo. The reversal is factually supported but the reviewer treats the benefit as a timing item on the adjustment schedule. On the substance, a reserve release of $96,150 appears as JE-25-0644 on 2025-06-30. Read narrowly,, the warranty reserve for a superseded gripper assembly was released to cost of sales at the half year. Release is supportable but the reviewer treats the margin benefit as a normalization item rather than as run-rate. For this reserve release the preparer was T. Vasquez, approved by M. Okonjo. On this reserve release, the item is retained in the file even though it does not change the conclusion, so the trail remains complete.

JE-26-0134 is a credit to expense of $96,800 posted on 2026-02-13. In the file,, a research credit relating to two earlier years was credited to expense when the refund was received. On this credit to expense, the explanation offered was plausible and was still corroborated against a document before being accepted. This credit to expense was prepared by M. Okonjo and approved by T. Vasquez. The credit study attributes the qualifying spend to earlier periods; the benefit was removed from the measured period. JE-25-0311 is a capitalization entry of $213,800 posted on 2025-03-31. Per the workpaper,, deployment crew labour was moved from cost of sales to internal-use software in a single quarter-end entry. On this capitalization entry, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. This capitalization entry was prepared by M. Okonjo and approved by T. Vasquez. The reviewer reversed the entry in its analysis; management has since changed the coding rule at source. JE-25-1288 is a post-close adjustment of $142,650 posted on 2025-12-31. On the substance,, rework campaign scrap was reclassified between cost lines nine days after the close was declared final. On this post-close adjustment, the item was projected across the population on the basis stated in the accompanying schedule. This post-close adjustment was prepared by External adviser and approved by M. Okonjo. The reclassification is supported by work order types; the reviewer used the same split in the margin analysis.

On the papers, a post-close adjustment of $267,500 appears as JE-24-1118 on 2024-12-31. By reference,, an inventory obsolescence charge was posted eleven days after the close was declared complete. For this post-close adjustment, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. For this post-close adjustment the preparer was External adviser, approved by M. Okonjo. On this post-close adjustment, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. On the balance, also flagged is JE-25-0938, posted 2025-09-30 by L. Brantley approved by M. Okonjo, for $71,640 and classified as a missing accrual. On the evidence,, no accrual was raised for spares received in the final week of September 2025. The omission was quantified from the goods receipt note and is reflected as a period attribution adjustment. On this missing accrual, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result. JE-25-0517 is a entry by an unexpected preparer of $62,400 posted on 2025-05-30. From the extract,, a revenue entry was prepared by a member of the sales operations team rather than the accounting team. On this entry by an unexpected, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. This entry by an unexpected preparer was prepared by L. Brantley and approved by M. Okonjo. The entry was correct, but preparer access rights were reviewed and narrowed in July 2025.

Schedule 1.5 - Adjustment schedule with reviewer disposition

Ref	Adjustment	Amount ($)	Direction	Period	Recurrence class	Proposed by	Evidence	Reviewer disposition	Accepted ($)
ADJ-01	Dependent enrollment overpayment on the medical plan	41,860	Add-back	FY2024	Non-recurring	Management	carrier invoices for February through April	Accepted	41,860
ADJ-04	Owner's vehicle and club dues	34,720	Add-back	FY2025	Normalization	Management	general ledger detail for accounts 6410 and	Reduced	22,180
ADJ-05	Severance for the departed VP of Operations	186,400	Add-back	FY2025	Non-recurring	Management	the separation agreement and the payroll reg	Accepted	186,400
ADJ-06	Recruiting fees for the replacement operations leader	74,600	Add-back	FY2025	Normalization	Management	the search-firm invoice and the executed off	Rejected	0
ADJ-07	Cloud hosting overage during the Crestline migration	128,940	Add-back	H2-2025	Non-recurring	Management	the hosting provider's invoice detail by pro	Reduced	79,500
ADJ-08	Warranty reserve release	96,150	Deduction	FY2025	Normalization	Diligence	the warranty reserve rollforward and the fie	Accepted	96,150
ADJ-09	Stock compensation expense	1,247,300	Add-back	LTM Jun-2026	Normalization	Management	the equity administrator's expense report re	Accepted	1,247,300
ADJ-12	Rent abatement on the Fremont lease	62,400	Deduction	FY2024	Normalization	Diligence	the lease amendment dated 2024-02-08 and the	Accepted	62,400
ADJ-13	Trade show and customer summit costs	88,250	Add-back	FY2025	Non-recurring	Management	event vendor invoices and the internal	Rejected	0

Ref	Adjustment	Amount ($)	Direction	Period	Recurrence class	Proposed by	Evidence	Reviewer disposition	Accepted ($)
							event		
ADJ-15	Unrecorded liability for the September 2025 spares purchas	71,640	Deduction	FY2025	Normalization	Diligence	the vendor statement reconciliation and the	Accepted	71,640
ADJ-16	Pro forma savings from the renegotiated hosting contract	204,000	Add-back	Q2-2026	Pro forma	Management	the executed hosting agreement dated 2026-04	Reduced	121,000
ADJ-19	Customer credit issued for the Asterion availability short	118,700	Add-back	FY2025	Normalization	Management	the credit memorandum, the service level rep	Rejected	0
ADJ-20	Unfunded paid time off accrual movement	84,300	Deduction	LTM Jun-2026	Normalization	Diligence	the PTO liability rollforward and the human	Accepted	84,300
ADJ-22	Contractor conversion cost differential	138,900	Deduction	Q1-2026	Run-rate	Management	offer letters for eleven converted contracto	Reduced	92,400
ADJ-24	Deferred revenue haircut on the Harborline pilot	62,900	Deduction	H2-2025	Normalization	Diligence	the pilot agreement, the acceptance certific	Accepted	62,900
ADJ-25	Insurance premium refund on the cancelled cargo policy	31,200	Deduction	FY2024	Non-recurring	Diligence	the broker credit advice and the policy canc	Accepted	31,200
ADJ-26	Board and advisory fees settled in cash	78,000	Add-back	FY2025	Normalization	Management	board minutes, the advisory agreements and t	Rejected	0
ADJ-29	Sales commission true-up on multi-year bookings	109,400	Deduction	FY2025	Normalization	Diligence	the commission plan, the bookings register a	Accepted	109,400
ADJ-30	Relocation and immigration cost for two senior hires	63,750	Add-back	Q1-2026	Non-recurring	Management	relocation vendor invoices and the two execu	Reduced	41,500
ADJ-32	Management fee charged by the founder holding entity	120,000	Add-back	FY2024	Normalization	Management	the intercompany invoice series and the serv	Reduced	74,000
ADJ-33	Penalty interest on the late equipment	18,460	Add-back	FY2025	Non-recurring	Diligence	the lender's arrears notice and the loan sta	Accepted	18,460

Ref	Adjustment	Amount ($)	Direction	Period	Recurrence class	Proposed by	Evidence	Reviewer disposition	Accepted ($)
	finance instalment								
ADJ-34	Capitalized cloud configuration cost	97,200	Deduction	FY2025	Reclassification	Diligence	the internal-use software addition schedule	Reduced	61,400
ADJ-35	Foreign exchange loss on the Ontario deployment payables	24,830	Add-back	FY2025	Normalization	Management	the currency revaluation report and the two	Rejected	0
ADJ-36	Unrecorded credit balance owed to Evergreen Warehousing	53,400	Deduction	LTM Jun-2026	Normalization	Diligence	the customer statement, the unapplied cash r	Accepted	53,400
ADJ-37	Annualization of the enterprise support team build	168,000	Deduction	Q2-2026	Run-rate	Diligence	the approved headcount plan, six signed offe	Accepted	168,000
ADJ-38	Deferred bonus accrual reversal	74,900	Deduction	FY2024	Normalization	Diligence	the bonus plan document, the accrual workpap	Accepted	74,900
ADJ-39	Legal settlement with a former contractor	112,500	Add-back	H2-2025	Non-recurring	Management	the settlement agreement, counsel's closing	Accepted	112,500
ADJ-42	Interim chief financial officer engagement	96,000	Add-back	H2-2025	Non-recurring	Management	the interim engagement letter, monthly invoi	Reduced	34,000

8. Open items and outstanding information requests

The register below is reproduced as it stood at the date of this file, including items that have been resolved, so that the diligence trail is not rewritten. In this stream,, ranges are used where evidence supports a range, and the low end of a range is used when the reviewer must choose a single figure for a schedule. As matters stand,, warranty accrual rates had not been refreshed since 2023 because no owner was assigned to the review of the underlying assumption.

On its facts, the log shows IR-096, confirmation of restricted cash release conditions, addressed to the seller - treasury and requested on 2026-07-03; the response is received - under review. The status is recorded as pending. In this stream,, if release depends on milestones beyond closing the balance stays outside cash at closing. For confirmation of restricted cash, the conclusion is stated at the low end of the supportable range, as the file convention requires. On the source, the seller - revenue accountant holds IR-031, standalone selling price analysis for bundled northfield contracts, requested 2026-06-20. In detail,, allocation for the bundled contracts cannot be independently tested, so the revenue split between obligations is unverified. On standalone selling price analysis, as at the date of this file nothing has been provided and the item is open. For standalone selling price analysis, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. As to the facts, outstanding is IR-059, hosting agreement effective 2026-04-30 with the rate card, addressed to the seller - it director and requested on 2026-06-26; material was provided on 2026-06-30. The status is recorded as closed. On this point,, the agreement supported the contractual portion of the hosting savings and allowed the rest to be rejected. For hosting agreement effective 2026-04-30, the reviewer recorded that no comparable item was found in the two earlier periods examined.

By agreement, outstanding is IR-052, bank statements for the ontario subsidiary for the full period, addressed to the seller - controller and requested on 2026-06-25; the response is partially received. The status is recorded as open. In the event,, two months are missing, so cash proof coverage for the subsidiary is below the level applied to the parent. For bank statements for the, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. On the merits, also open is IR-019, retention agreements underpinning the larkspur earn-out, addressed to the seller - counsel and requested on 2026-06-18; the response is partially received. The status is recorded as open. In substance,, the split between fixed deferred consideration and retention-contingent amounts cannot be finalized, so part of the balance stays in a range. For retention agreements underpinning the, the item was traced from the summary schedule through the sub-ledger to the source document. IR-027 asks for billing system extract reconciled to the general ledger by month. The request for billing system extract reconciled was raised on 2026-06-19 with the seller - controller and material was provided on 2026-06-27, leaving the item closed. For billing system extract reconciled, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly. In detail,, the extract was reconciled and the residual monthly differences are immaterial and explained.

As to the facts, the seller - finance director holds IR-041, engagement letters for all adviser fees in the period, requested 2026-06-23. As to the facts,, two invoices remain unsupported, so the split between transaction and ordinary-course professional fees is provisional. On engagement letters for all, as at the date of this file the response is partially received and the item is open. For engagement letters for all, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. IR-034 asks for board minutes evidencing the december 2024 bonus decision. The request for board minutes evidencing the was raised on 2026-06-20 with the seller - company secretary and material was provided on 2026-07-08, leaving the item received - insufficient. For board minutes evidencing the, the supporting document was produced after two requests and its late arrival is noted in the register. On inspection,, the minutes record the decision but not the plan terms, so the reviewer relies on management's representation that the bonus remained available. On testing, the seller - hr director holds IR-107, detail of the fy2026 discretionary bonus by participant, requested 2026-07-06. On testing,, the pre-closing service period allocation supporting debt-like treatment is only partly evidenced. On detail of the fy2026, as at the date of this file the response is partially received and the item is open. For detail of the fy2026, the reviewer confirmed that the same item does not also appear on the net debt schedule.

Per the index, the seller - project accountant holds IR-071, aged unbilled receivable detail with billing triggers, requested 2026-06-29. On the substance,, without billing triggers the reviewer cannot distinguish unbilled amounts awaiting a milestone from those awaiting customer sign-off. On aged unbilled receivable detail, as at the date of this file nothing has been provided and the item is open. For aged unbilled receivable detail, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. IR-049 asks for customer credit and unapplied cash listing at 2026-06-30. The request for customer credit and unapplied was raised on 2026-06-24 with the seller - credit control and material was provided on 2026-07-03, leaving the item closed. For customer credit and unapplied, the supporting document was produced after two requests and its late arrival is noted in the register. By reference,, the listing supported the customer credit balance treated as debt-like and reconciled to the aged receivable report. On the balance, among the open matters is IR-099, reconciliation of the fixed asset register to the ledger, addressed to the seller - controller and requested on 2026-07-03; nothing has been provided. The status is recorded as open. At the cut-off,, depreciation in the earnings measure cannot be tied to the register, which limits the capital expenditure commentary. For reconciliation of the fixed, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given.

Schedule 1.6 - Quarterly seasonality of working capital

Quarter	Site go-lives	Billings ($)	Peak NWC ($)	Trough NWC ($)	Intra-quarter swing ($)	Principal driver
2024-Q1	14	4,054,221	6,084,630	5,572,535	512,095	Deployment crew utilisation at seasonal peak
2024-Q2	11	4,878,852	5,972,468	5,109,078	863,390	Inventory build ahead of the following quarter
2024-Q3	11	5,236,505	6,706,050	5,675,904	1,030,146	Hardware shipments concentrated in the final month

Quarter	Site go-lives	Billings ($)	Peak NWC ($)	Trough NWC ($)	Intra-quarter swing ($)	Principal driver
2024-Q4	3	4,906,325	4,408,593	3,981,306	427,287	Retail freeze delaying go-live dates
2025-Q1	11	5,633,915	5,797,572	5,290,190	507,382	Customer capital budgets released early in the quarter
2025-Q2	13	5,784,883	6,702,372	6,145,583	556,789	Customer capital budgets released early in the quarter
2025-Q3	9	4,796,360	6,275,852	5,369,415	906,437	Deployment crew utilisation at seasonal peak
2025-Q4	13	4,931,896	5,994,842	5,061,749	933,093	Deployment crew utilisation at seasonal peak
2026-Q1	11	6,355,205	5,189,564	3,902,638	1,286,926	Deployment crew utilisation at seasonal peak
2026-Q2	10	6,511,904	5,270,865	4,939,980	330,885	Inventory build ahead of the following quarter

9. What remains unverified at the date of this file

A diligence record is only useful if it is honest about its gaps, so the reviewer lists here every matter that could not be resolved within the fieldwork window. In detail,, related-party balances were identified from the ledger and from management inquiry; no independent search for undisclosed related parties was performed. On any view,, bank reconciliations are prepared monthly and reviewed, but three months carry unexplained items that were carried forward rather than cleared.

In substance,, where a projection of error is made, it rests on the sample basis stated in the relevant schedule and is presented as a range rather than as a single figure. In detail,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent. On this point,, the close calendar allows entries after the close is declared complete, and post-close entries appear in five of the ten quarter ends reviewed. Against the ledger, the seller - revenue accountant holds IR-088, analysis of the pinecrest option pricing against list, requested 2026-07-02. In sequence,, the material right judgment stays open, and any allocation to the option would move revenue between periods. On analysis of the pinecrest, as at the date of this file nothing has been provided and the item is open. For analysis of the pinecrest, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction.

In detail,, approver fields are blank on a subset of journal entries, which prevents any conclusion on the operation of the journal approval control during the affected periods. On inspection,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records. On testing,, management represented that the capitalized configuration work created a lasting integration component; the ticket detail supports this for part of the amount only. Taken alone, the seller - revenue accountant holds IR-031, standalone selling price analysis for bundled northfield contracts, requested 2026-06-20. In the file,, allocation for the bundled contracts cannot be independently tested, so the revenue split between obligations is unverified. On standalone selling price analysis, as at the date of this file nothing has been provided and the item is open. For standalone selling price analysis, the reviewer compared the item with the equivalent balance in the prior period before reaching a view.

As to the facts,, second-preparer reperformance was applied to one contract in each testing stream so that the testing approach itself is evidenced as reproducible. On inspection,, ranges are used where evidence supports a range, and the low end of a range is used when the reviewer must choose a single figure for a schedule. At the cut-off,, adjustments are presented gross with their direction stated, rather than netted, so that a reader can rebuild the measure from reported results. On the merits, outstanding is IR-027, billing system extract reconciled to the general ledger by month, addressed to the seller - controller and requested on 2026-06-19; material was provided on 2026-06-27. The status is recorded as closed. On reperformance,, the extract was reconciled and the residual monthly differences are immaterial and explained.

For billing system extract reconciled, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items.

In detail,, warranty accrual rates had not been refreshed since 2023 because no owner was assigned to the review of the underlying assumption. On the substance,, coverage of the customer base is complete for the twenty-five largest accounts by revenue and sampled below that level, with the sampling basis stated wherever a projection is made. In review,, contract amendments are stored in a shared drive without a register, so the reviewer built the amendment population from the contract files themselves. IR-107 asks for detail of the fy2026 discretionary bonus by participant. The request for detail of the fy2026 was raised on 2026-07-06 with the seller - hr director and the response is partially received, leaving the item open. For detail of the fy2026, the explanation offered was plausible and was still corroborated against a document before being accepted. Read narrowly,, the pre-closing service period allocation supporting debt-like treatment is only partly evidenced.